EXECUTIVE SUMMARY

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EXECUTIVE SUMMARY

A. Financial Highlights

The table below shows that the Municipality's Assets, Liabilities and Government Equity as of December 31, 2014, were P80,235,502.28, P28,352,801.35, and P51,927,700.93, with a decreased of (18.90%), (61.73%) and (03.96%), respectively from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P62, 293,172.98 and P60, 398,499.50 which increased by 13.97 % and 16.92%, respectively from last year's figures.

			Increase(Decrease)	
	2014	**2013**	**Amount**	**Percentage**
Assets	80,235,502.28	67,477,084.55	(12,758,417.73)	(18.90%)
Liabilities	28,352,801.35	17,530,755,09	(10,822,046.26)	(61.73%)
Govt. Equity	51,927,700.93	49,946,329.46	(1,981,371.27)	(3.96%)
Income	62,293,172.98	54,656,335.66	7,636,837.32	13.97%
Expense	60,398,499.50	51,653,620.95	8.744,878.55	16.92%
Appropriations	89,436,163.57	85,611,743.20	3,824,420.37	4.27%
Obligations	73,723,498.52	58,259,801.17	15,463,697.35	20.97%

B. Operational Highlights:

The following are the major projects completed by the municipality:

Major Programs/Projects/ Activities	**Amount**	**Accomplishment**	**% of Accomplishment**
Regravelling of Centro East-Caniugan Mission Road	200,000.00	198,000.00	100%
Regravelling of Alucao-Buyun Road- Phase III	500,000.00	494,975.20	100%
Highway Street Lights-Phase II	1,000,000.00	995,000.00	100%
Improvement of Buyun Provincial Road-Phase III	2,000,000.00	1,938,872.00	100%
Improvement of Mission Road	1,000,000.00	998,586.88	100%
Construction of Public Market-Phase II	3,300,000.00	3,298,334.89	100%
Const. of Vegetable Section	2,042,000.00	2,037,000.09	100%
Bucale-Tagcar-Phase III	700,000.00	695,015.40	100%

C. Scope of the Audit

A financial and compliance audit was conducted on the accounts and operations of the Municipality of Sta. Teresita for the period ended December 31, 2014. The audit was aimed at ascertaining the propriety of disbursement, the adequacy of accounting books and records and the reliability of financial reports. Likewise, the audit was conducted to identify the practices that require compliance with laws, rules and regulations for the purpose of recommending measures to correct them.

D. Independent Auditor's Report on the Financial Statements

We rendered a qualified opinion on the financial statements due to the non-recording of RPT/SET Receivables at the beginning of the year and the erroneous recording of Meals and Snacks to Other MOOE instead of Representation Expenses account, thus affecting the fair presentation of the financial statements.

E. Significant Findings and Recommendations

1. Real Property Tax and Special Education Tax Receivable amounting to P2, 851,244.58 were not established/ recorded in the books of accounts at the beginning of the year based on RPTAR/Taxpayer's index card, contrary to Section 20, Volume 1 of the New Government Accounting System (NGAS).

   We recommended that management direct the concerned officials to:

   - Comply strictly with the provision of Section 20, Volume I of the NGAS (for LGUs) regarding the basis of recording RPT/SET Receivable;
   - Prepare certified list of taxpayers based on the Assessment Roll prepared by the Municipal Assessor and;
   - RPT/SET Receivables and Deferred Special Education Tax Income are real accounts and is not subject for reversion at the end of the year. Forward the balances of the said accounts to the next preceding year to reflect the correct balance in the financial statements.

2. Meals and snacks expenses totaling to P661, 377.64 were recorded as Other Maintenance and Operating expenses - 969 instead of Representation Expenses account as provided under COA Circular No. 2004-008.

We recommended that the Municipal Accountant make the necessary `adjustment to reclassify the various expenses that were recorded in the Other Maintenance and Operating Expenses for proper disclosure and presentation of transactions in the financial statements. Refrain from recording expenses as Other Maintenance and Operating Expenses for which specific accounts have been provided in the NGAS Chart of Accounts.

3 Copies of perfected contracts of the Municipality amounting to P7, 923,768.97 were not submitted within five (5) working days after its perfection as required in COA Circular No. 2009-001 dated February 12, 2009, thus, regularity and reasonableness of contract costs could not be promptly reviewed, and technically evaluated.

We recommended that the Municipal Mayor strictly require the concerned municipal officials/personnel to submit copies of contracts with complete supporting documents within five (5) working days after its perfection as required under COA Circular No. 2009-001 dated February 12, 2009 to facilitate timely review and evaluation of contracts by the Audit Team.

Require the concerned officer/personnel to review the contracts and other documents before affixing their signatures. Any alterations must be initialed by the concerned signatories and all photocopies must be authenticated.

F. Status of Implementation of Prior Year's Audit Recommendations

Out of the four (4) audit recommendations of last year's report, three (3) were fully implemented and one (1) was partially implemented as of year- end.